



SOUTH SEA BUBBLE

Economic bubbles got their name from a crash in 1720. The British parliament gave the South Sea Company a seemingly valuable monopoly on trade with South America in return for a loan. The company's shares soared, making investors apparently rich. Other schemes were quickly launched. But trade with South America went nowhere, and as many schemes came to nothing, stocks crashed.



HERD MENTALITY

In 1841, Scottish journalist Charles Mackay argued that economic bubbles are caused by “herd mentality.” This is the idea that people can get swept up by how others behave, like a herd of buffalo stampeding. To predict when economic bubbles might happen, behavioral economists and psychologists like Daniel Kahneman study herd behavior to see how emotions such as greed and fear may drive stock markets.



DOTCOM BUBBLE

This century began with the bursting of the “dotcom” bubble. Convinced that the internet was going to change the way business was done overnight, speculators rushed to buy shares in new e-commerce companies. Some companies with no trading history and little income attracted billions of dollars of investment and share prices soared. But the values were all an illusion. The bubble burst and share prices plummeted catastrophically.

From 2000–02, 7 trillion dollars of investment in internet businesses was wiped out.